The Chinese were able to spend 1951 consolidating their control over Tibet both legally and militarily, reasonably assured that India would not interfere in the process, and also having secured an assurance that Nepal territory would not be allowed to become a staging point for anti-Chinese activity in Tibet.

During this time, the Chinese were careful not to allow the PLA to come into direct contact with Indian forces along the frontier, or to agitate the existence of special privileges that India had in Tibet. When the Central Chinese Government's Representative in Lhasa, General Zhang Jingwu, raised the question of Indian interests in Tibet with his leadership, Premier Zhou Enlai sent him a message in September 1951, conveying that the time was not yet ripe for dealing with India on the issue. [22] By the end of 1951, therefore, China had achieved two of its objectives—physical control as well as the legitimization of its ownership of Tibet. Its next objective was to get India to recognize this fact. In 1952, China prepared to deal with Indian interests in Tibet.

When Panikkar raised the Tibet issue with Vice Foreign Minister Zhang Hanfu on 11 February 1952, and handed over a note on the subject, Zhang said he would pass it on to Premier Zhou Enlai. The note proposed a list of issues for discussion with the Chinese side relating to the special privileges that India had in Tibet by virtue of being the successor state to the British Indian Government, with one notable exception—there was no reference to the frontier, which had now become the India–China frontier. By this time, the Indian side appeared to have drawn comfort from the absence of any mention by China about the boundary issue in the two years since the establishment of the People's Republic of China. It was felt that it was best to let the matter rest. On 13 February 1952, Panikkar met Zhou Enlai to discuss the note apropos Tibet that he had